

Enterprise Management and Entrepreneurship M.EIC 2025-2026



Universidade do Porto

Faculdade de Engenharia

FEUP

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Entrepreneurship: from idea to business

José Coelho Rodrigues

Content

- Introduction
- Strategic Learning and Experimentation
- Business Models
 - Product-Market Fit
 - Connecting to customers
 - Operations
- Entrepreneurial Strategy – An integrative logic

Entrepreneurship

Introduction

Introduction – from idea do business

- What does it take to go from **an idea to a business?**
 - Business Model + Customer Development
 - Hypothesis testing of the business model(s)
 - Get “out of the building”
- Difference between a vision and a hallucination
- Experiential learning: talk to stakeholders – customer, partners, competitors...; observation

Introduction – from idea do business

Definitions:

- **Company**
 - A business organization which sells a product or service in exchange for revenue and profit
- **Startup**
 - A **temporary** organization designed to **search** for a **repeatable and scalable business model**
 - A Startup **aims to become a company**

Introduction — from idea do business

What we used to believe vs. What we now know

- *Startups are a smaller version of a Large company*
- Startups Search;
Companies Execute

Introduction — from idea do business

What we used to believe vs. What we now know

Strategy

- *Start with an Operating Plan and Financial Model*

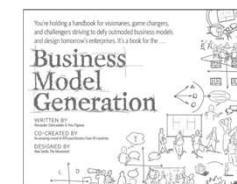
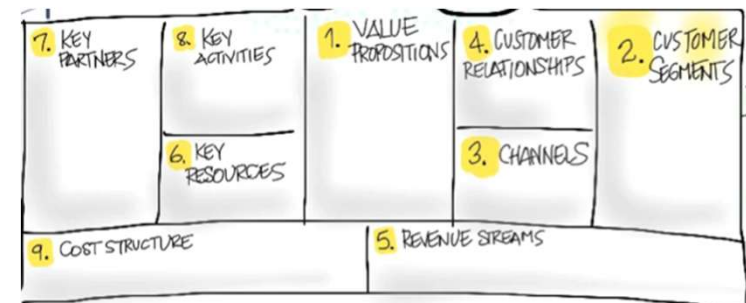
- *All I need to do is Execute the Plan*
- *All I need to do is Make the Forecast*



Balance Sheet		Year				
		1999	2000	2001	2002	2003
12 Assets						
13 Cash and cash equivalents*		\$4.27	\$4.18	\$7.42	\$4.83	\$7.86
14 Accounts receivable*		\$48.54	\$44.19	\$39.77	\$34.81	\$33.86
15 Inventories*		\$26.73	\$38.48	\$34.75	\$43.27	\$34.06
16 Deferred income taxes*		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
17 Total current assets		\$79.54	\$86.85	\$81.94	\$82.91	\$75.78
18 Fixed assets						
19 Cash		\$111.44	\$43.12	\$50.87	\$43.29	\$49.06
20 Accumulated Depreciation*		\$88.72	\$105.69	\$112.40	\$122.26	\$125.06
21 Net fixed assets		\$22.72	\$37.43	\$38.47	\$21.03	\$23.90
22 Goodwill*		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
23 Intangible assets*		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
24 Other assets*		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
25 Total assets		\$204.50	\$167.38	\$169.21	\$167.24	\$169.74
26 Liabilities						
27 Accounts payable*		\$14.83	\$41.40	\$41.84	\$76.42	\$86.06
28 Current debt*		\$18.06	\$43.00	\$44.85	\$77.49	\$86.06
29 Total current liabilities		\$32.89	\$84.40	\$86.69	\$153.91	\$172.12
30 Long-term debt*		\$48.00	\$48.00	\$50.00	\$75.00	\$75.00
31 Other long-term liabilities*		\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
32 Total liabilities		\$80.89	\$180.40	\$136.69	\$228.91	\$247.12
33 Shareholders' equity						
34 Common stock and additional paid-in capital*		\$100.00	\$100.00	\$100.00	\$100.00	\$100.00
35 Retained Earnings*		\$123.61	\$86.98	\$132.52	\$138.33	\$122.62
36 Total Shareholders' Equity		\$223.61	\$186.98	\$232.52	\$238.33	\$222.62
37 Total liabilities and shareholders' equity		\$304.50	\$367.38	\$369.21	\$367.24	\$369.74

- No Business Plan survives first contact with customer

- Planning comes before the plan



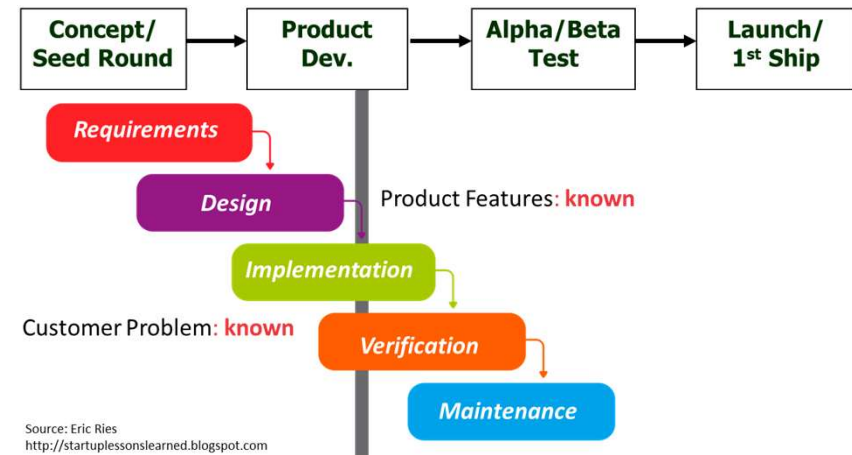
Introduction – from idea do business

What we used to believe vs. What we now know

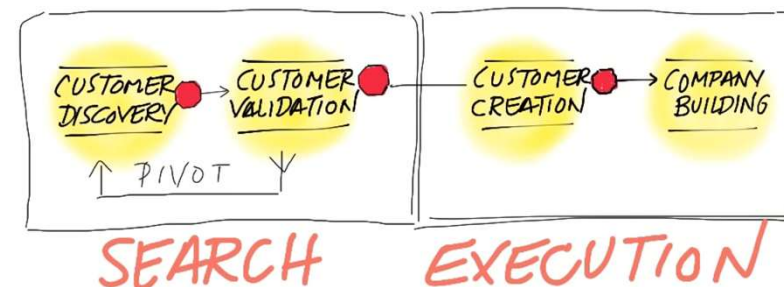
Process

- We built startups by managing processes*

- *Product introduction model*
- *Waterfall engineering (execution on two “knowns”)*



- More startups fail from a lack of customers than from a failure of product development

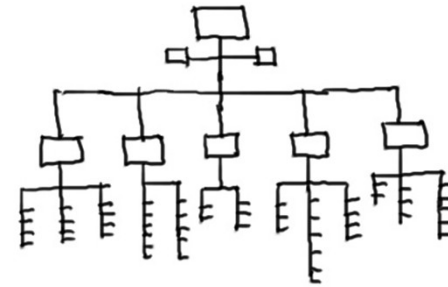


Introduction — from idea do business

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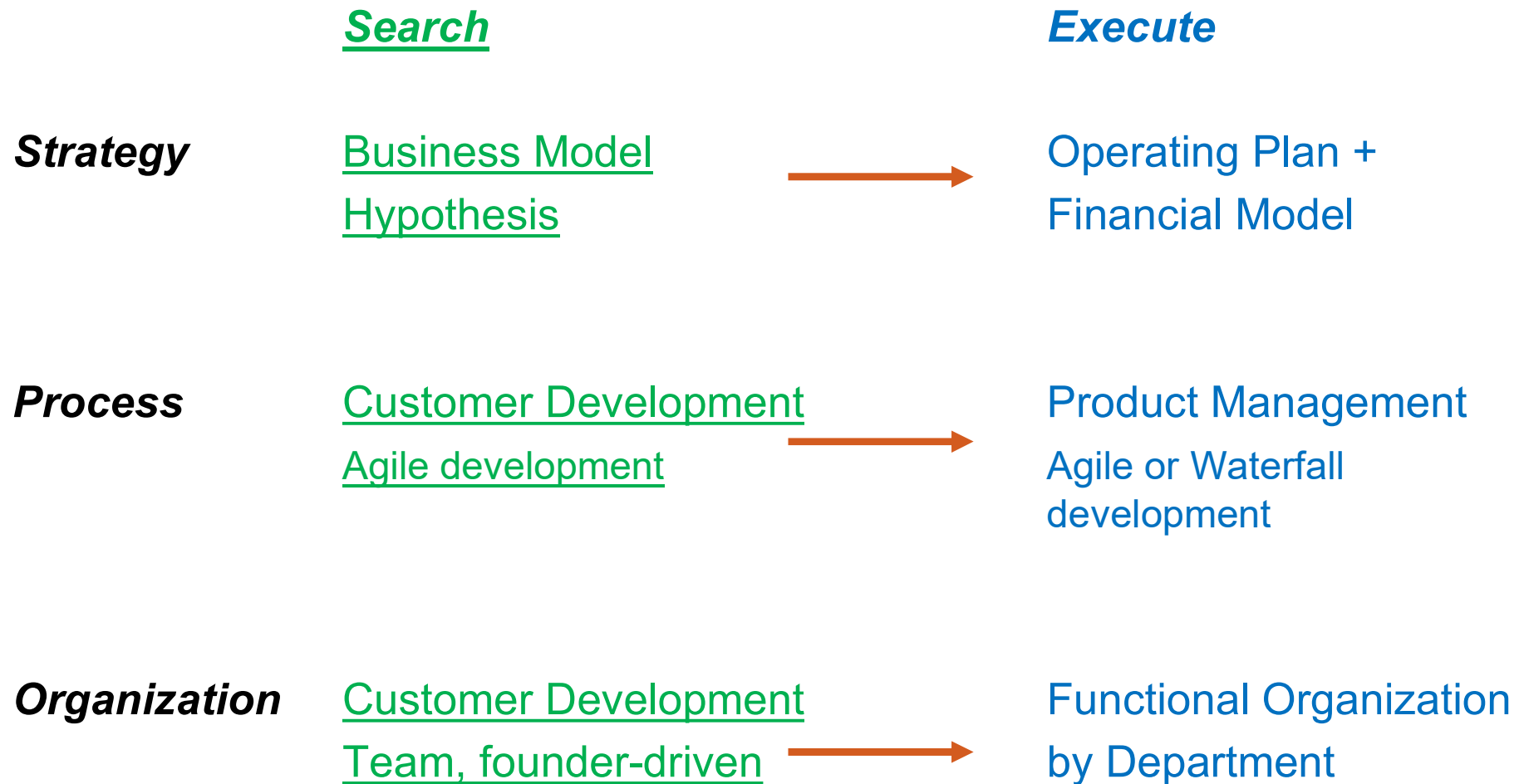
Organization

- *Hire and build a Functional Organization*



- Founders run a customer development team
 - No sales, marketing and business development

Introduction – from idea do business



Introduction — from idea do business

- Entrepreneurship begins with the **Search** for a **Business Model**
- **Experiential learning** to validate hypothesis about business model (and identify patterns)

Entrepreneurship

Strategic Learning and
Experimentation

Strategic Learning and Experimentation

- Entrepreneurship begins with the **Search** for a **Business Model**
- Create hypothesis (“**guesses**”)

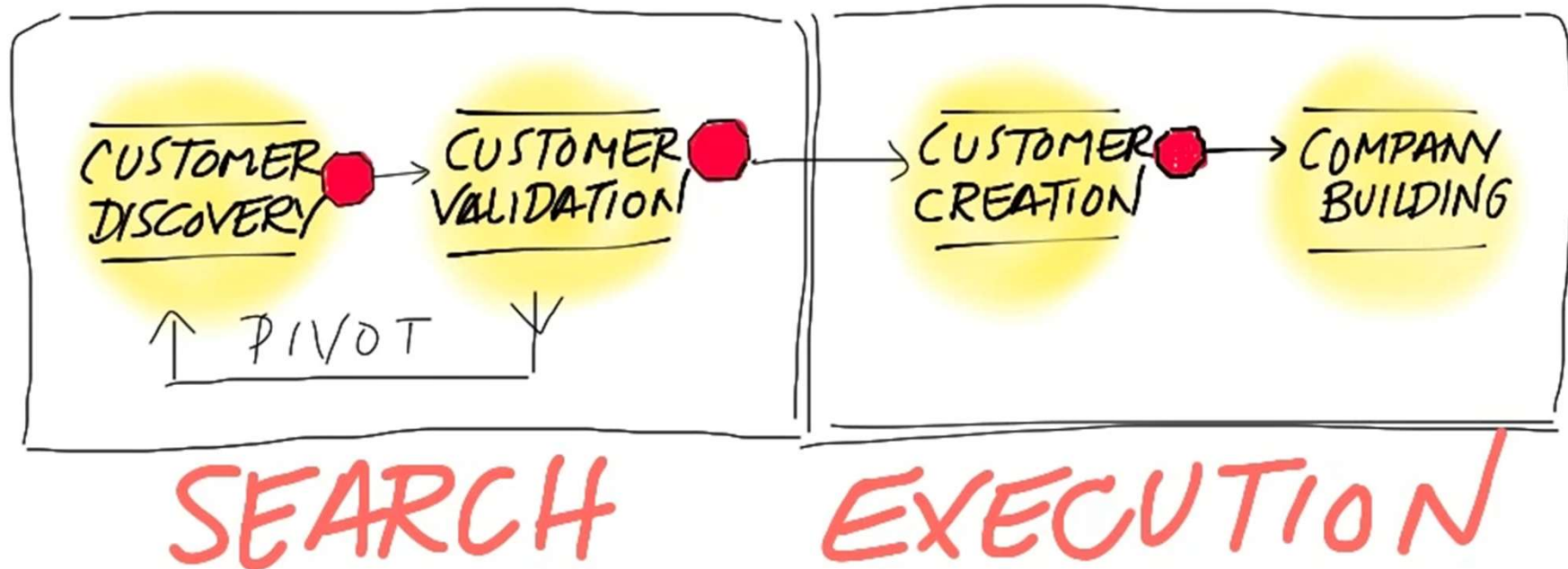
The Business Model Canvas Designed for: _____ Designed by: _____ One: _____ Iteration: _____

Key Partners Who are our Key Partners? Who are our key suppliers? Which Key Resources are we acquiring from partners? Which Key Activities do partners perform?  Guess	Key Activities What Key Activities do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Streams?  Guess	Value Propositions What value do we deliver to the customer? What set of our customers' problems are we helping to solve? What bundles of products and services are we offering to each Customer Segment? Which customer needs are we satisfying?  Guess	Customer Relationships What type of relationship does each of our Customer Segments expect us to establish and maintain with them? Which ones have we established? How are they integrated with the rest of our business model?  Guess	Customer Segments For whom are we creating value? Who are our most important customers?  Guess
	Key Resources What Key Resources do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Streams?  Guess	Guess	Channels Through which Channels do our Customer Segments want to be reached? How are we reaching them now? How are our Channels integrated?  Guess	
Cost Structure What are the most important costs incurred in our business model? Which Key Resources are most expensive? Which Key Activities are most expensive?  Guess		Revenue Streams For what value are our customers really willing to pay? For what do they currently pay? How are they currently paying? How would they prefer to pay? How much does each Revenue Stream contribute to overall revenues?  Guess		

www.businessmodelgeneration.com

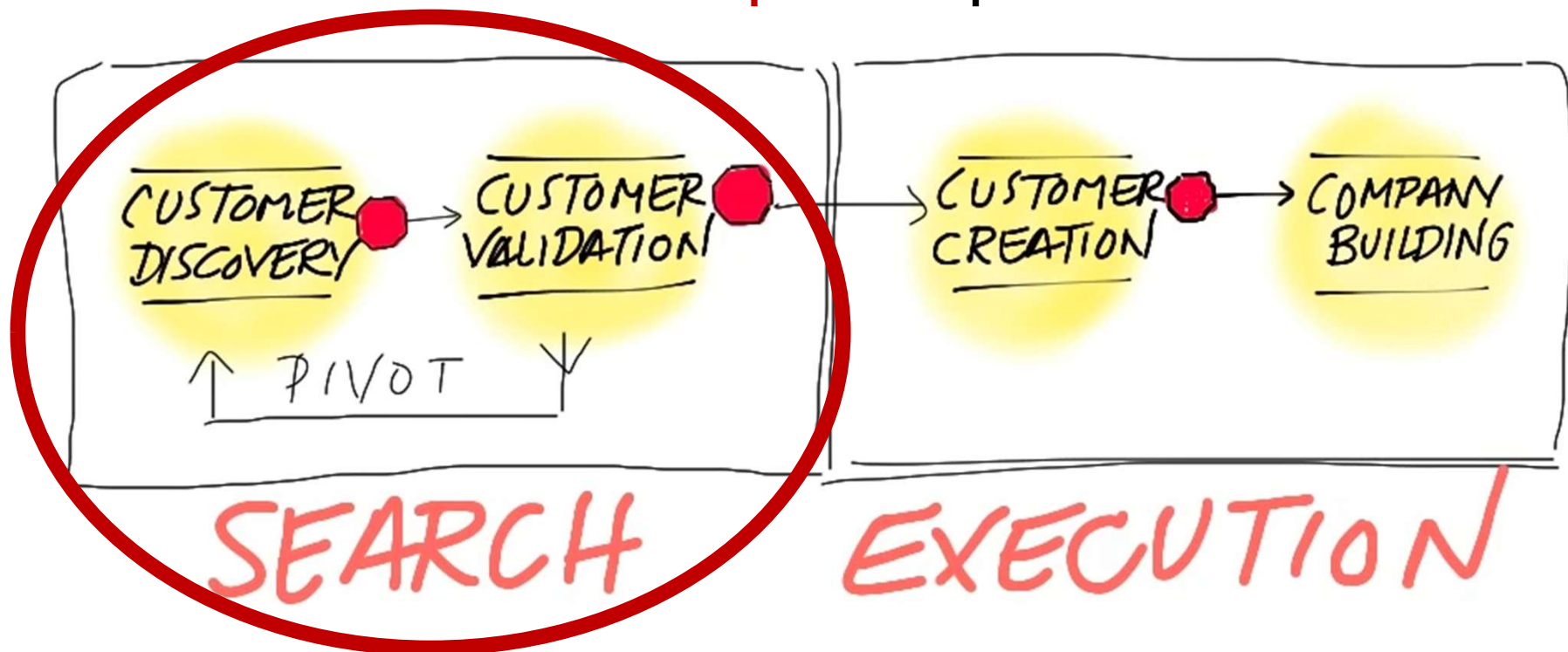
Strategic Learning and Experimentation

- How do we change “guesses” into facts?
- The customer development process



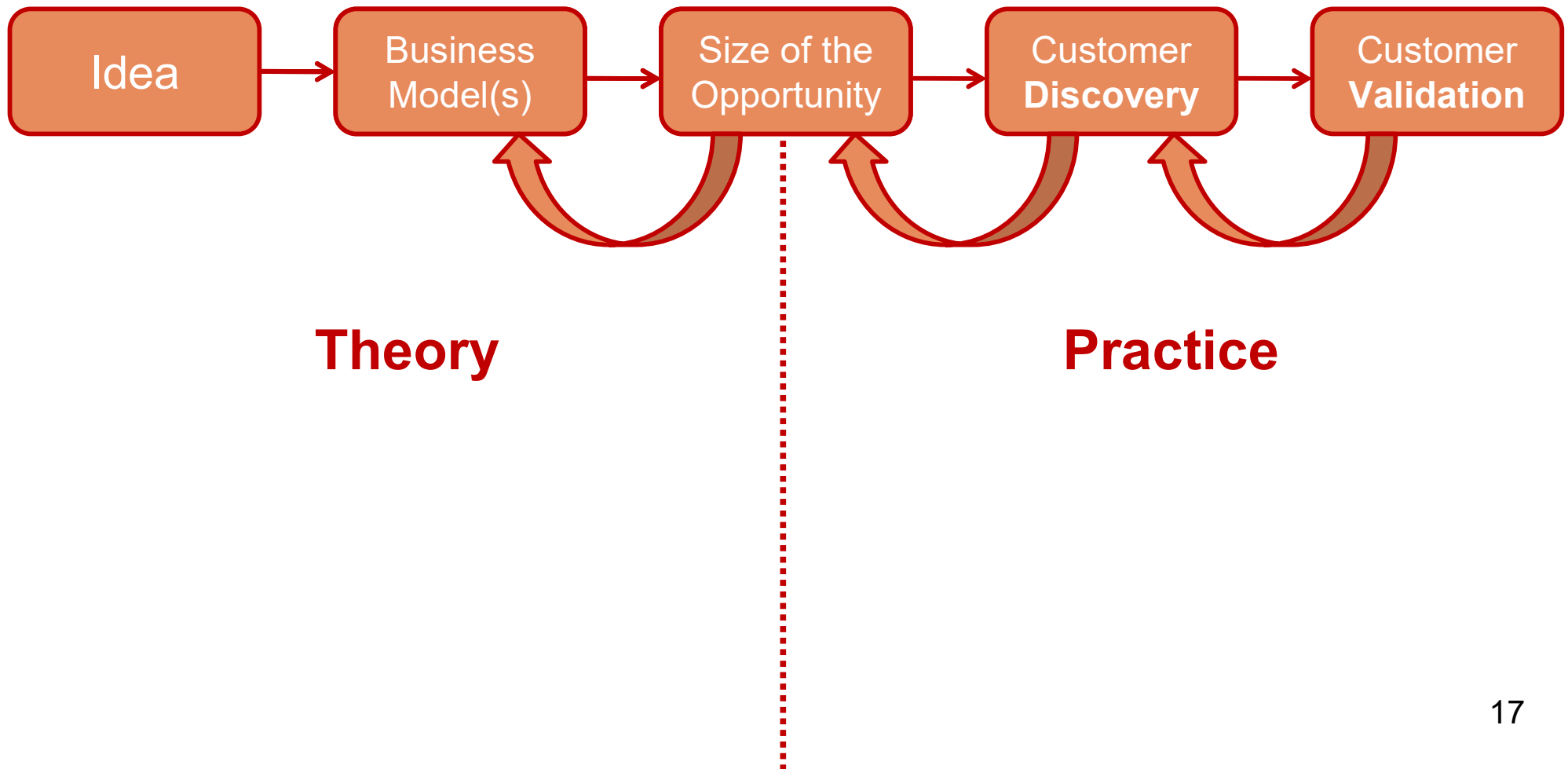
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Strategic Learning and Experimentation

How to build a Startup?

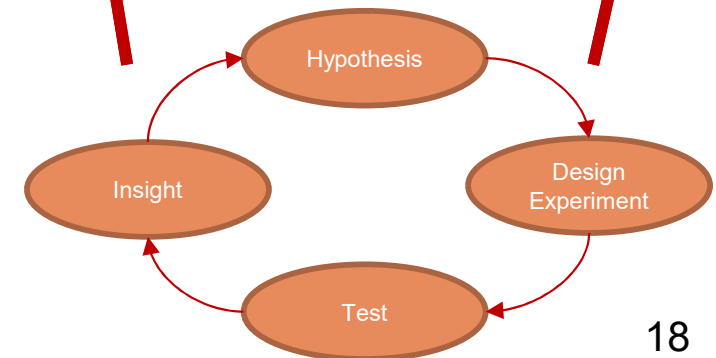


Strategic Learning and Experimentation

How to build a Startup?



- Experimenting to resolve **uncertainty!**
 - Learn through rounds of organized testing
 - **Need uncertainty**
 - **Technical uncertainty**
 - **Production uncertainty**

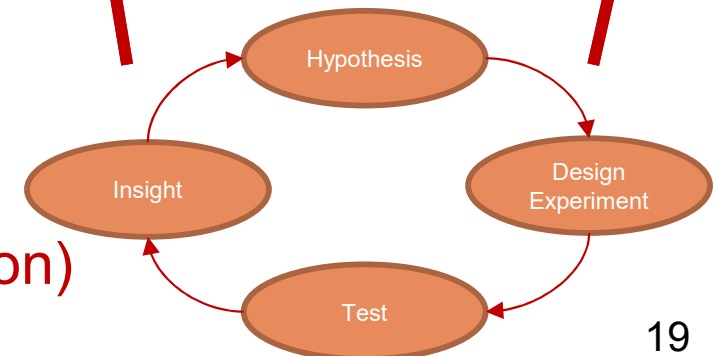


Strategic Learning and Experimentation

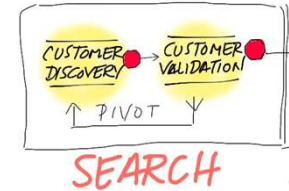
How to build a Startup?



- Experimenting to resolve uncertainty!
- First **test the problem (need)**
- Then **test the solution (technical/production)**



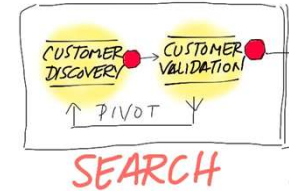
Strategic Learning and Experimentation



Customer discovery

1. State hypothesis
 - Draw Business Model
2. Test the problem
 - Get out of the building
 - Test understanding of customer problem or need
3. Test the solution
 - Build prototype
 - Test product-market fit
4. Verify or pivot business model

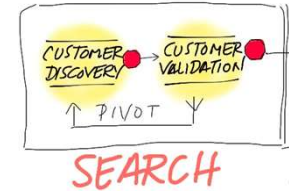
Strategic Learning and Experimentation



Pivot

- Pivots are possible results of hypothesis testing and experimentation
 - Hypothesis testing involves failure!
- Pivot is a substantive change to one or more components of the business model
 - Iterations are minor changes
- In a pivot, dismiss hypotheses that do not match reality
 - BUT, save the knowledge built!!!

Strategic Learning and Experimentation



Customer validation

1. Get ready to sell
 - Acquire customer; Prepare distribution channels
 - Build Minimum Viable Product (MVP) – minimum features required to get customers' feedback (and then add more features)
2. Get out of the building
 - “Test sell” to early evangelists
3. Develop positioning
 - Corporate and product positioning
4. Verify the business model (*pivot or proceed*)
 - Repeatable and scalable?

Strategic Learning and Experimentation

The example of IDEO

<https://www.youtube.com/watch?v=BPQt3XsfK9o>

- Company built on the ability to create innovation in a predictable manner

Strategic Learning and Experimentation

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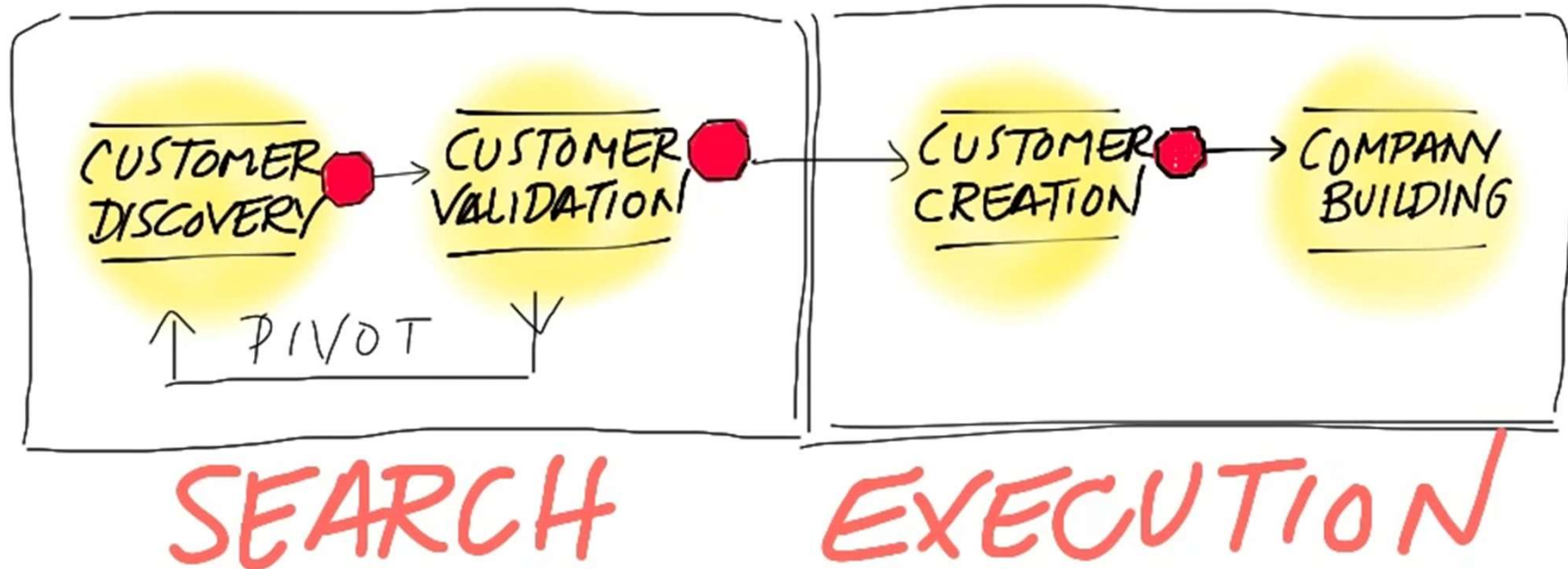
- Company built on the ability to create innovation in a predictable manner

Highlights:

- Learn from failure
 - Disqualify failed experiments and continue search
 - “Fail often to succeed sooner”
 - Avoid mistakes! Mistakes produce no new/useful information ($\neq$ failure)
- Knowledge from failure or success can be stockpiled
 - Know what does not work is as important as knowing what does
 - Critical to keep track of failed hypothesis

Strategic Learning and Experimentation

- How do we change “guesses” into facts?
- The customer development process



References

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